

Sovereign Anchor Holdings – The 2026 Annual Data

Why This One's Different From the Quarterly

Every year, alongside the quarterly dialogues, I do one of these – the Annual Data. If the quarterly letters are me thinking out loud about what's changed recently, this one is the opposite instinct entirely: sit down, once a year, and go through every single holding in enough depth that if this were the only thing you ever read from me, you'd still understand exactly what you'd be signing up for.

So consider this the "great detail" version. Twenty companies, every one of them Indian, and underneath those twenty companies, four countries' worth of macro research – India itself, because you can't own twenty Indian businesses without a clear-eyed view of the soil they're all planted in, and three others I spent real time on this year as possible future soil: Türkiye, Indonesia, and Saudi Arabia. None of that non-India research has turned into an actual position yet. I want to be upfront about that before you get three countries deep and start wondering when the buying starts. It hasn't. This is the research, not the trade.

The Twenty Names

Let me give you the full list upfront, the way I always do, before I go deep on any single one of them.

This year's book: Cummins India, HDFC Asset Management Company, BSE Limited, Life Insurance Corporation of India, Varun Beverages, Hyundai Motor India, ABB India, Cipla, Coal India, Tata Motors Passenger Vehicles, LTIMindtree, Tata Consultancy Services, Indus Towers, Adani Power, Bharat Electronics, ITC, Bharat Petroleum, Hindustan Aeronautics, Dr. Reddy's Laboratories, and Infosys.

Twenty names, every single one of them Indian, and if you look at the shape of the list rather than just the names, a few clusters jump out. There's a genuine industrials cluster – Cummins and ABB, both playing the electrification-and-power-reliability theme from different angles. There's a financials cluster – HDFC AMC, BSE, and LIC, three completely different ways to own the financialization of Indian household savings. There's an IT services cluster – TCS, LTIMindtree, and Infosys, giving me three

different sizes and strategic postures inside the same global services story. There's a defense-and-energy-security cluster — Bharat Electronics, Hindustan Aeronautics, Coal India, Adani Power, and Bharat Petroleum, all in different ways proxies for a country that's taking self-reliance in hard infrastructure seriously. There's pharma — Cipla and Dr. Reddy's, both "Pharmacy of the World" businesses at different stages of their own transformation. And there's a smaller consumer-and-mobility cluster — Varun Beverages, ITC, Hyundai, Tata Motors Passenger Vehicles, and Indus Towers, all riding some version of the Indian consumption and connectivity story.

I'm not going to pretend this is as tightly concentrated a book as the eight-stock quarterly portfolio you may have heard about separately — it isn't, and it isn't supposed to be. This is the annual, wide-lens version of how I look at Indian equities: twenty businesses, deep enough research on each that I could defend owning any one of them on its own, deliberately spread across enough sectors that no single structural risk — a rate cycle, a commodity cycle, a single regulator's mood — can hurt the whole book at once. Concentration is a choice I make quarter to quarter as conviction sharpens. This annual list is closer to the raw universe that concentration eventually gets carved out of.

The Lens, Briefly Restated

If you've heard my quarterly dialogues, you already know I keep a running library of books that shape how I actually think about this — Taleb, Howard Marks, Ray Dalio, Ruchir Sharma, Peter Bevelin, Damodaran, and a dozen others. I'm not going to re-walk the entire shelf here; I've done that elsewhere and I don't want to repeat myself just to pad this out. But I do want to restate the two ideas from that library that matter most for an annual document built around four countries and twenty companies, because everything below gets filtered through them.

The first is the Sovereign Bet — soil before seed. This is straight out of Dalio and Sharma, filtered through Darwin by way of Bevelin. A company is not a freestanding object. It's an organism inside an ecosystem, and the ecosystem's health puts a ceiling and a floor on what the organism can achieve, no matter how well-run it is. That's why this annual document spends real time on India, Türkiye, Indonesia, and Saudi Arabia before it ever gets to Cummins or TCS. You cannot properly underwrite a twenty-year hold in an Indian defense contractor without first having a real, evidence-based view on whether India's institutions, currency, and capital markets are the kind of soil that rewards patience. So the country sections aren't

throat-clearing before the "real" content. They're the foundation the entire rest of the document stands on.

The second is Damodaran's narrative-and-numbers discipline, because with twenty companies to get through, it would be very easy to let this collapse into either pure storytelling – "this is a great business because X" – or pure spreadsheet mechanics – ROCE, margins, debt ratios, with no story connecting them. Every single write-up below tries to hold both at once: what's the plain-English story of what this business actually does and why it matters, and do the actual numbers – the margins, the returns on capital, the balance sheet – support that story or quietly contradict it. A few of these twenty pass that test more comfortably than others, and I'll tell you honestly where I see the gap.

One more thing worth saying before I get into the actual research, because it's specific to doing this at the country level four separate times: Sharma's core argument in *Rise and Fall of Nations* is that growth is never a fixed destiny, it's a function of reform momentum that rises and falls in cycles, and the same crisis-then-reform-then-complacency pattern shows up again and again across very different countries. Reading India, Türkiye, Indonesia, and Saudi Arabia back to back this year, that pattern was almost uncomfortably visible – each of these four countries is somewhere different on that same cycle, and I think you'll see it clearly once we walk through them in order.

The Home Soil: India Ascent

Let me start with the country I actually deploy capital in, because everything else is context by comparison.

The frame I keep coming back to for India is "Viksit Bharat 2047" – the government's own roadmap to advanced-economy status by the hundredth year of independence – and what strikes me isn't the slogan, it's how much of the underlying fiscal and institutional groundwork is actually being laid rather than just announced. The central government's fiscal deficit has come down from 9.2% of GDP in the pandemic year to 5.6% more recently, with a genuine glide path toward 4.5% and below. That's not a rounding-error improvement – that's the kind of multi-year fiscal discipline that got India actual sovereign rating upgrades this past year, including a move up to BBB flat from S&P. Ratings agencies don't upgrade a country on vibes; they upgrade on delivered numbers.

What I find more interesting than the headline deficit number is the composition underneath it – public capital expenditure is

climbing toward 3.4% of GDP, increasingly weighted toward highways, railways, and energy infrastructure rather than pure subsidy spending, which is precisely the "crowd-in" theory of public investment: the government builds the hard infrastructure first, and private capital follows because the roads and power and logistics are actually there. The GST reform, now roughly a decade old, keeps hitting record monthly collections, which tells you formalization of the economy is still compounding rather than plateauing.

The political backdrop matters too, and I'll be direct about it rather than dancing around it: the return of the current government for a third consecutive term signals a degree of policy continuity that global capital genuinely prices in as a feature, not a footnote. Continuity means a ten-year infrastructure plan doesn't get scrapped every election cycle, and Sharma's whole reform-cycle framework tells you that's rarer and more valuable than it sounds – most emerging markets don't get to keep the same broad policy direction across three consecutive terms.

I want to be honest about the rough edges too, because a soil assessment that only lists strengths isn't a real assessment. India ranked 91st out of 182 countries on the Corruption Perceptions Index this past year – an improvement from 96th, but still meaningfully below the global average, and contract enforcement timelines remain genuinely slow despite reforms like the Insolvency and Bankruptcy Code improving the picture at the margin. Land acquisition and environmental clearance friction still shows up as a real drag on large industrial projects, and interest payments alone eat up something like a fifth to a quarter of total government revenue, which limits how much fiscal room exists for the next shock, whatever it turns out to be.

Put together, though, my honest read – filtered through Dalio's lens on where a nation sits in its internal cycle – is that India is still in the constructive, building phase: fiscal consolidation genuinely underway, capital expenditure genuinely rising, institutions imperfect but moving in the right direction rather than backsliding. That's the soil twenty Indian companies are planted in, and it's meaningfully different soil, in both strengths and specific weaknesses, from the three other countries I want to walk you through now – precisely because I went and studied those three rather than assuming India's version of "developing economy" is the only version there is.

Promising Bet, Case One: Türkiye

Türkiye is the most dramatic of the three outside countries I looked at this year, and I mean that in the Dalio sense of a nation living through a visible, textbook cycle in real time rather than a slow-moving abstraction.

The recent history is genuinely instructive. Between 2002 and 2013, Türkiye ran a celebrated growth story – rapid expansion, real poverty reduction, structural reform, fueled partly by hot money inflows chasing the story. Then came the 2018 currency and debt crisis, followed by what the research calls "Erdoganomics" – a heterodox approach that kept interest rates artificially low to force growth, at the cost of the Lira and, eventually, price stability. Inflation peaked at a staggering 86% in 2022. The Lira lost 44% of its value in 2021 alone, and another 20% in 2024. This is Sharma's reform-cycle framework playing out almost too perfectly – a country rides a genuine growth wave, gets complacent about the institutional discipline that produced it, and pays for that complacency for the better part of a decade.

What makes Türkiye worth actually studying right now, rather than writing off, is the pivot that started after the May 2023 elections – a new economic team brought back toward monetary orthodoxy, prioritizing disinflation and rebuilding the central bank's credibility. It's working, slowly and expensively: inflation has come down from that 86% peak to somewhere around 31% by the end of last year. That's still extremely high by any normal standard, but the direction of travel matters more than the level when you're assessing whether a reform cycle is genuinely underway or just cosmetic. The "sacrifice ratio" – the growth pain required to bring inflation down – is real and visible in a construction sector that's basically the only part of the investment economy still growing, propped up by earthquake reconstruction rather than organic demand.

Structurally, Türkiye's case is genuinely compelling on paper: it sits at the physical crossroads of Europe, the Middle East, Central Asia, and Russia, controlling maritime chokepoints like the Bosphorus, with a diversified manufacturing base in automotive, machinery, electronics, and defense that's deeply integrated into European supply chains through a 1996 Customs Union. Favorable demographics give it a labor supply advantage a lot of aging advanced economies would envy. Türkiye now represents its highest-ever share of global GDP, at roughly 1.34% in nominal terms.

The honest risks are just as structural. Türkiye runs a chronic current account deficit – \$25.2 billion in the most recent year, which forces it to be a perpetual net importer of capital, which in turn makes it perpetually vulnerable to shifts in global risk

appetite. Institutional quality, particularly around rule of law and judicial independence, has genuinely deteriorated over the last decade, which raises the risk premium foreign capital demands before committing for the long term. And a heavy energy import dependence leaves the whole economy exposed to Middle East and Russia geopolitics in a way that's largely outside Ankara's control.

My honest takeaway: Türkiye is a country in the early-to-middle stage of a reform cycle that's only two years old, trying to earn back credibility it spent the better part of a decade losing. That's genuinely different from a country that's never lost the plot in the first place, like Switzerland, and it's a much higher-variance bet as a result. I don't think it's investable soil yet, in the sense of deserving actual capital from me. I think it's a genuinely fascinating test case for watching whether a heterodox detour can be fully reversed, and I'll keep watching it for exactly that reason.

Promising Bet, Case Two: Indonesia

Indonesia is a genuinely different kind of story from Türkiye – less a cautionary tale about losing discipline, more a live experiment in a distinct development model that deliberately skips the playbook its East Asian neighbors used.

The core of the strategy is what's called *hilirisasi*, or downstreaming – rather than following the traditional East Asian path of export-oriented manufacturing, Indonesia is using its position as the world's largest nickel producer, alongside major bauxite and copper reserves, to force domestic processing of raw commodities before they leave the country. Started under Joko Widodo and pushed further under President Prabowo Subianto, the logic is straightforward: don't just dig up the critical minerals the entire global energy transition needs and ship them out raw, force the value-add – refining, processing, eventually battery and EV manufacturing – to happen on Indonesian soil first. That's given the country genuine negotiating leverage with both China and the United States, who each need reliable access to critical minerals supply chains and have limited alternatives to Indonesian nickel specifically.

The macro picture underneath that strategy is a nation that's grown from a rounding error in the global economy – 0.25% of world GDP back in 1967 – to roughly 1.23% today, with a genuinely ambitious government target of 8% annual growth by 2029. Household consumption still drives more than half of GDP, which has historically been a source of resilience – Indonesia doesn't live

or die purely on export demand the way a smaller, more trade-dependent economy would.

But here's where I want to be honest about the structural weaknesses, because the research doesn't shy away from them and neither should I. There's a persistent productivity problem – the incremental capital-output ratio, essentially a measure of how much new investment it takes to generate one additional unit of GDP growth, is elevated, meaning Indonesia is having to work harder, invest more, for each increment of growth than a more efficient economy would. There's a contracting middle class, which is a genuinely concerning signal for a growth model this dependent on domestic consumption – if the middle class that does the consuming is shrinking rather than expanding, the foundational assumption of the whole model gets shakier. And a large informal labor sector limits how much revenue the state can actually mobilize through taxation, constraining the fiscal firepower available for the next infrastructure push.

Geopolitically, Indonesia plays a genuinely clever hand – the "Free and Active," or *bebas aktif*, doctrine means it avoids locking itself into either the US or China bloc, while actively pursuing membership in both the OECD and BRICS simultaneously, maximizing optionality rather than picking a side prematurely. That's a very Taleb-coherent strategy, honestly – preserving optionality in a genuinely uncertain, multipolar world rather than making an irreversible bet on which superpower wins the next decade.

My honest read on Indonesia, filtered through Sharma: this is a country betting its entire growth model on getting resource nationalism right rather than following the tested East Asian export-manufacturing script, and the 8%-growth ambition is going to live or die on whether it can fix the productivity and ICOR problem faster than the middle-class contraction erodes the domestic-consumption base underneath it. It's a "Third Way" experiment, in the report's own framing, and I think it's genuinely too early to know if the experiment works. That's exactly why it's on the promising-bets list rather than the actual portfolio – promising and proven are different categories, and I try hard not to confuse them.

Promising Bet, Case Three: Saudi Arabia

Saudi Arabia is the most top-down, state-directed transformation of the three, and I think it's the one where the sheer scale of the ambition is genuinely hard to overstate.

The starting point is the old model – what the research calls "Oil for Development," where petroleum revenue historically accounted for something like 80% of GDP and the overwhelming majority of government revenue. Vision 2030 is the Kingdom's attempt to fundamentally rewire that model into a multi-pillar, investment-driven economy built around logistics, finance, tourism, and renewable energy, rather than staying a passive commodity exporter waiting for the next oil cycle to turn in its favor.

What makes this transformation genuinely different from most emerging-market reform stories is the sheer size of the financial firepower behind it. Saudi Arabia sits on the world's second-largest natural resource reserves, valued at something like 35 trillion dollars, and it's deploying capital through the Public Investment Fund – the sovereign wealth vehicle now managing roughly 941 billion dollars in assets – into entirely new sectors: entertainment, mining, green hydrogen, sectors that didn't meaningfully exist inside the Saudi economy a decade ago. This isn't a country hoping foreign capital shows up to fund its diversification. It's a country largely self-funding its own transformation and then using that self-funded credibility to pull in additional foreign direct investment on top.

Geography does real work here too – the Kingdom sits at the crossroads of Asia, Europe, and Africa, and the Red Sea corridor running along its coast carries something like a fifth of all global container trade. That's not a manufactured strategic advantage the way Indonesia's downstreaming policy is; it's simply where Saudi Arabia happens to sit on a map, and Vision 2030 is trying to actually monetize that geography as a logistics hub rather than leaving it as an accident of geology.

The honest structural weaknesses are real, and worth naming plainly. The economy remains meaningfully sensitive to global oil prices and OPEC+ production decisions, which can still swing headline growth even as the non-oil economy grows underneath. There's a historical dependence on foreign labor across both high-skilled technical roles and low-skilled service positions, which requires genuinely difficult, socially sensitive labor-market reform – including systematically dismantling the old Kafala sponsorship system – to resolve. And the riyal's peg to the US dollar, while it buys currency stability, means the Saudi central bank has essentially no independent monetary policy of its own; it's importing US interest rate decisions whether or not they fit Saudi Arabia's own economic cycle.

The productivity picture is genuinely mixed, which I think is the most honest single sentence I can give you about the whole

transformation: R&D spending is rising fast, but measured total factor productivity remains stubbornly flat, meaning all that capital deployment hasn't yet translated into the kind of broad-based efficiency gains that would prove the diversification is working at a fundamental level rather than just a headline level.

My honest read, filtered through Dalio's framework on where a nation sits in its cycle: Saudi Arabia looks like a country in what I'd call a genuine compounding phase – favorable demographics, exceptional fiscal discipline funded by real reserves rather than borrowed money, and an unusually institutionalized, well-sequenced reform framework in Vision 2030 that reduces the political-reversal risk you'd normally worry about in a state-led transformation this ambitious. The productivity paradox is the one thing I'd want resolved before I got genuinely excited, but of the three promising bets in this document, I think Saudi Arabia currently has the clearest, most fully funded path from ambition to execution.

The Twenty, One at a Time

That's the soil question answered, as best I can answer it this year. Now let's get into the actual businesses – the reason any of this macro work matters in the first place.

Cummins India – The Mechanical Heart

Cummins India makes the engines that sit underneath a huge amount of the industrial economy without ever putting its own name in front of a consumer – diesel and natural gas engines, generator sets, and the power systems that keep heavy construction machinery, backup generators, and the national railway network actually running. Established in 1962, it's had six decades to become the mechanical equivalent of infrastructure – not glamorous, but genuinely load-bearing.

The financial profile is close to a fortress in the Taleb sense: debt-free, return on capital employed consistently above 30%, and a dividend payout ratio north of 60%. Recurring aftermarket revenue – parts, service, maintenance on engines already in the field – gives the business a stabilizing cushion against the industrial economy's inevitable cyclicity. What's genuinely interesting for the next few years is the collision between emissions regulation and the data center boom: Cummins was an early mover on CPCB IV+ emissions compliance, which lets it charge premium pricing precisely when hyperscale data centers need high-horsepower backup power at a scale most competitors can't

match. Its "Destination Zero" push into hydrogen and battery-based solutions is the long-duration hedge against the eventual decline of pure diesel demand. Record revenue past ten thousand crore this past year, and I think of Cummins as a clean proxy for "someone has to build the boring, unglamorous machinery that makes everything else possible" – a very Adam Smith kind of specialization, honestly.

HDFC Asset Management Company – A Royalty on Indian Savings

HDFC AMC is the cleanest expression I own – well, watch closely, in this case – of what I'd call a royalty on India's financialization of household savings. As Indian households shift money out of bank deposits and gold and into mutual funds, HDFC AMC, a subsidiary of HDFC Bank, sits at the center of that flow, managing over 9.2 trillion rupees in assets as of early this year.

The business economics are genuinely extraordinary – zero debt, effectively zero capital expenditure requirements, negative working capital, and operating margins above 80%. That's about as close to a pure royalty structure as a regulated Indian financial business gets. The product shelf has expanded well beyond plain mutual funds into portfolio management services and alternative investment funds, and there's a real expansion underway into private credit and international markets through GIFT City, signaling a company evolving from "mutual fund house" into something closer to a genuine investment powerhouse. The risks are real – regulatory caps on total expense ratios squeeze the fee line directly, and the entry of well-capitalized new competitors like the Jio-BlackRock joint venture is a genuine long-term competitive threat to a business that's historically enjoyed limited serious competition. But the distribution network and brand trust built up over decades are a moat that's genuinely difficult to replicate quickly, no matter how much capital a new entrant brings.

The flagship funds – HDFC Flexi Cap, HDFC Top 100, the mid- and small-cap offerings – remain the highest-margin part of the shelf, but what tells me management is thinking a decade ahead rather than just defending today's fee pool is the passive-investing buildout, seventeen equity ETFs deep now, aimed squarely at the low-cost, index-tracking demand that eventually comes for every maturing asset management market. The newer Structured Credit Fund, anchored by an investment from the International Finance Corporation, is the clearest signal of where the next growth leg is coming from – private credit to mid-market enterprises still

underserved by traditional bank lending, a genuinely different and less commoditized business than plain-vanilla equity mutual funds.

BSE Limited – The Toll Gate

BSE is Asia's oldest stock exchange, tracing back to an informal gathering of stockbrokers under a banyan tree in the 1850s, and it's gone through a genuinely remarkable modern transformation – from broker-owned association, to corporatized entity in 2007, to publicly listed company in 2017, to today functioning as what the research aptly calls a centralized "toll-gate" for Indian capital markets.

What makes BSE interesting right now rather than just historically notable is that it's emerged from a long period of relative stagnation into one of the more exciting growth stories in Indian capital markets, driven by three distinct engines: a resurgence in index derivatives trading, dominance of the STAR MF platform for mutual fund transactions, and clear leadership in the SME listing segment. It's debt-free, capital-efficient, and benefits from a duopoly market structure alongside the NSE that's structurally very hard to disrupt. The primary risk is regulatory – as the toll-gate, BSE's fee structures, contract sizes, and trading hours are all ultimately at SEBI's discretion, and that can change with limited warning. There's also concentration risk in any technological failure or security breach given how central the exchange is to price discovery. But a debt-free balance sheet and a proven management team give it real resilience, and I think of it less as a historical landmark and more as a high-margin utility sitting directly on top of the compounding of the entire Indian economy.

The derivatives comeback specifically is worth sitting with for a second, because five years ago BSE was barely a participant in equity options – that market had effectively been ceded entirely to the NSE. Following the relaunch of its Sensex and Bankex weekly expiry contracts, BSE's notional market share in equity derivatives surged to somewhere around 20 to 30% by late last year. That's not incremental share-gain, that's a genuine second growth engine appearing from close to zero inside a handful of years, and it's a good reminder that "duopoly" doesn't mean the two players split every segment evenly forever – the internal mix between them can still shift dramatically.

Life Insurance Corporation of India – The Sleeping Giant

LIC is a genuinely fascinating value-versus-growth case study sitting inside a single sector. The Indian life insurance industry has transformed between 2021 and 2026 from a state-dominated,

volume-driven market into a much more competitive, value-focused one, pushed hard by the regulator's "Insurance for All by 2047" mandate, and LIC sits at one extreme of that transformation while private insurers like HDFC Life, SBI Life, and ICICI Prudential sit at the other.

The private insurers are priced for perfection – high embedded-value growth, strong margins on newer, more profitable product lines. LIC, by contrast, trades at what the research calls "distress" levels – something like 0.7 times embedded value, a genuine historical anomaly for a market leader of LIC's scale. Part of that discount is a real, persistent overhang from the government's ongoing stake-sale process, which keeps supply pressure on the stock. But the underlying case for a re-rating is straightforward: as the government completes its mandatory stake reduction and LIC's free float rises, it becomes eligible for larger global index inclusion, and if its product mix keeps shifting toward the same higher-margin protection and ULIP products the private insurers have already leaned into, the valuation gap becomes harder to justify. I think of LIC as the deep-value half of a barbell on Indian insurance, with the private insurers representing the quality-growth half – different risk-reward profiles solving for the same long-term theme of India's underpenetrated life insurance market.

Worth being precise about the erosion, though, rather than just gesturing at it – LIC still holds an 18.6% market share in individual annualized premium equivalent, meaningful by any global standard, but that number has been steadily ceded to the "Big Three" private insurers over the past several years, specifically in the higher-margin protection and ULIP segments where LIC has historically been slower to compete. This is exactly the kind of gap Greenblatt's framework would flag as interesting rather than disqualifying – a dominant-by-volume incumbent losing share in the most profitable segments to more nimble competitors, priced by the market as if the losing trend runs in a straight line forever, when insurance market share dynamics rarely do.

Varun Beverages – PepsiCo's Growth Engine

Varun Beverages is the case study in what execution inside a franchise model actually looks like when it's done exceptionally well. Controlled by the Jaipuria family and led by Ravi Jaipuria, VBL has grown from a localized bottling operation in the early 1990s into PepsiCo's second-largest franchisee anywhere in the world outside the United States – and it did that through a genuinely full-stack approach, owning manufacturing, supply chain, deep-market distribution, and cold-chain retail infrastructure

rather than just bottling and handing off to someone else's trucks.

The growth has been real, not just narrative – a roughly 20% revenue compound annual growth rate historically, driven by aggressive expansion into underpenetrated territories and backward integration, plus a genuinely bold recent pivot into Africa and into adjacent categories like snacks and alcoholic beverages. Consolidated sales volumes hit 1,124 million unit cases in the most recent calendar year, with revenue growing 8.5% to just over 222 billion rupees and profit after tax growing faster still, up 16.2%, which is operating leverage doing exactly what it's supposed to do – fixed costs spread over a larger base, margins expanding as volume scales. Return on equity has held in the 20-to-34% range over the past decade, genuinely exceptional for a capital-intensive manufacturing business, though the stock's high price-to-earnings multiple means the market has already noticed how good this business is. The clearest risk is simply weather and geographic concentration risk inherent in a beverage business, but as long as the Jaipuria family keeps executing on territory consolidation with the same discipline, this remains one of the more rewarding growth stories in global FMCG, not just Indian FMCG.

Hyundai Motor India – The Localized Global Playbook

Hyundai Motor India is the Korean parent's most important overseas growth story told through an Indian lens. Established in 1996 and now the second-largest passenger vehicle OEM in India behind Maruti, HMIL's recent IPO – with the Korean parent retaining an 82.5% stake – marked a new era of financial transparency for what had previously been a fairly opaque subsidiary. The Indian operation is genuinely strategically important to the parent, at one point accounting for close to a fifth of Hyundai Motor Company's entire global sales volume.

What I find most interesting isn't the car lineup itself, it's the "invisible revenue" layer building on top of it – software-driven feature activations and connectivity services that let the value of a car keep growing over its ownership lifecycle rather than depreciating in a straight line, a business-model echo of the recurring-revenue logic you'd normally associate with software companies, not automakers. Financially, the company benefits from the Hyundai Production System's extreme vertical integration and automation, plus the backing of the broader Hyundai Motor Group's affiliate network for parts and after-sales logistics through Hyundai Mobis. As India's vehicle ownership ratio climbs from today's relatively low base toward a projected 300-plus vehicles per thousand people, and as the industry pivots hard toward SUVs,

HMIL looks well-positioned on both manufacturing flexibility and product mix. The honest risks are design similarity across the lineup diluting brand differentiation, and the ordinary cyclicalities of auto demand – but the global parent's backing is a genuine cushion most domestic-only competitors don't have.

The capacity story underneath all of this is worth knowing concretely: the twin Chennai plants have been running near 100% utilization at 824,000 units of annual capacity, which is exactly the kind of constraint that caps growth regardless of how strong demand is. The acquisition of GM's old Talegaon plant in Maharashtra is the direct fix – 170,000 additional units coming online in the back half of this fiscal year, with a further 80,000 after that, eventually taking total capacity past a million units annually. A capacity expansion that's already been bought and is already under construction is a meaningfully lower-risk growth catalyst than one that still depends on a greenfield land acquisition and years of permitting.

ABB India – The Operating System of Industry

ABB India is a subsidiary of the Swiss-Swedish industrial giant, and the plain-English version of what it does is genuinely elegant: it makes the "muscles" – high-performance electric motors and mechanical systems – and the "brains" – automation software and control systems – that let factories run without constant human intervention, let power grids absorb renewable energy without destabilizing, and let transportation systems move people and goods efficiently.

The financial position entering this year is the strongest it's been in decades – zero debt, close to 5,700 crore in cash, and return on capital employed consistently in the 20-to-30% range. What's genuinely compelling about the setup is the alignment with three simultaneous national megatrends: the buildout of gigawatt-scale data center capacity, the modernization and electrification of the railway and metro network, and the broader transition toward a 500-gigawatt renewable energy grid. Short-term margin pressure from labor and input costs is a real, near-term headwind, but the structural demand drivers underneath all three megatrends aren't going anywhere. I think the right way to understand ABB India, per the research, is to look past the individual pieces of hardware it sells and see it as the "operating system" of India's industrial modernization – foundational rather than incidental to how the next decade of Indian manufacturing actually gets built.

The order backlog stands at roughly 10,471 crore rupees, and part of what's funding the broader industrial buildout ABB sells into

is the government's Production-Linked Incentive scheme, which had disbursed over 140 billion rupees by last year specifically to manufacturers expanding domestic capacity. That's a useful thing to understand about ABB India's demand base generally – a meaningful share of it isn't just organic industrial capex, it's industrial capex that policy is actively subsidizing into existence, which cuts both ways: a genuine tailwind today, and a dependency worth watching if the PLI framework ever changes shape.

Cipla – The Pharmacy of the World, Reinventing Itself

Cipla is a vertically integrated pharmaceutical manufacturer solving a genuinely important problem: taking complex drug molecules originally developed and patented by multinational pharma companies and creating chemically identical, dramatically more affordable generic versions, so life-saving treatment isn't gated purely by ability to pay. The product portfolio spans more than 1,500 products across over 50 dosage forms, from standard tablets to genuinely technically demanding formulations like inhalers and IV infusions, with particular strength in respiratory and chronic therapy categories across India and Africa that provide a non-discretionary revenue base – people don't stop treating asthma or diabetes because the economy had a bad quarter.

The company is mid-transition from traditional generics manufacturer toward what it calls a "Future Fit" strategy – peptides, biosimilars, and digital healthcare – positioned to capture the industry's broader shift from competing purely on volume to competing on value. Financially, it's debt-free with roughly a billion and a half dollars in cash reserves and a consistent 23% return on capital employed. Leadership transition is already planned and communicated well in advance, with Achin Gupta set to succeed Umang Vohra as global CEO, which I think is worth noting specifically because clean, telegraphed succession planning is exactly the kind of governance signal that's easy to overlook and expensive to be wrong about. The near-term risk is ordinary margin volatility from R&D spending cycles and periodic domestic price controls, but the combination of a resilient non-discretionary revenue base and a genuine innovation pipeline gives this one real durability.

Roughly 61 to 62% of Cipla's India revenue now comes from chronic therapies specifically – the kind of continuous, lifelong medication that doesn't get deferred in a weak quarter – and the company has genuinely built new digital capability on top of that base rather than just talking about it, with an AI-powered respiratory diagnostic tool called Spirofy and a digital patient-engagement platform called Breathefree. It's also moved into some genuinely unexpected adjacent categories for a generics

manufacturer – a beauty and personal care line through the Astaberry acquisition, and a partnership with Eli Lilly to enter the high-margin GLP-1 obesity-drug market. None of those adjacent bets are proven yet at scale, but they're evidence of a management team actively trying to build the next decade's growth rather than assuming the last decade's generics playbook keeps working indefinitely.

Coal India – The Energy Shock Absorber

Coal India is the single most unglamorous name on this entire list, and I mean that as a genuine compliment rather than a knock. This is a state-owned enterprise supplying roughly 83% of India's total domestic coal production and meeting close to 40% of the country's primary commercial energy needs, at a time when coal-fired plants still generate about 72% of India's electricity. The renewable transition is real and it's happening, but the functional reality for 1.4 billion people right now is that coal is still the baseload backbone, and Coal India is the entity holding that backbone up.

What makes the business genuinely strategic rather than just large is the pricing mechanism – Coal India supplies domestic coal at something like 20% to 30% below international spot prices, functioning as a shock absorber that insulates the entire Indian economy from global energy price volatility. That's not a business decision made for margin optimization; it's closer to a national-security function wearing a corporate structure. Demand is about as non-discretionary as it gets – 85 to 90% of production goes to the power sector under long-term Fuel Supply Agreements, and nobody turns off the lights because commodity markets are volatile.

The company has genuinely modernized over the past decade, consolidating from over 400 mines down to a more efficient 310-to-350 range, focused on mega-projects like the Gevra mine, positioned to become the world's largest coal mine by output. And the forward strategy – targeting a billion tonnes of production by 2028-29 alongside 10 gigawatts of solar capacity and coal-to-chemical diversification – is Coal India's own attempt to become a "diversified energy company" rather than a single-commodity miner riding a slow structural decline. The risk, honestly, is exactly that long-term decline – the eventual, multi-decade shift away from coal is real and directional, even if the timeline is much longer than global headlines suggest. For now, though, this is about as close to a sovereign-backed, non-discretionary utility as the Indian market offers.

Tata Motors Passenger Vehicles – Freshly Independent

Tata Motors Passenger Vehicles is a genuinely new entity in the way that matters most for an investor – the October 2025 demerger split the old Tata Motors into two separately listed companies, one for commercial vehicles and one for passenger vehicles including Jaguar Land Rover, giving each business the operational focus and capital-allocation independence that comes from no longer having to share a single balance sheet and a single management bandwidth with a very different business.

The turnaround story underneath that structural change is genuinely impressive on the numbers – return on capital employed near a ten-year high around 17.6%, and domestic passenger-vehicle market share roughly doubling through a deliberate, sustained focus on SUVs, the highest-growth segment of the Indian auto market. What the research calls the shift from a "supply-push" to a "brand-led retail-pull" model is really a description of quality of earnings improving, not just volume – selling because customers want the product, not because dealers are being incentivized to move inventory. The near-term risks are the usual automotive-sector ones – the uncertain pace of EV adoption and global trade friction affecting the JLR side of the business specifically – but a robust balance sheet and a genuinely strong product pipeline post-demerger make this a compelling turnaround case to keep watching now that it can be judged entirely on its own merits.

LTIMindtree – The AI-First Merger

LTIMindtree is what you get when two mid-sized IT services companies – Larsen & Toubro Infotech and Mindtree – merge into a single, more architecturally complete technology engineering and consulting powerhouse, sitting inside the broader Larsen & Toubro Group. The plain-English version: this is the company hired by the world's largest corporations to actually design, build, and manage the software infrastructure modernizing their operations, from consumer mobile apps to the cloud databases global banks depend on.

The company has clearly emerged from what was, honestly, a genuinely difficult multi-year integration between two different corporate cultures, and it's emerged with real capital efficiency intact – a premium valuation, trading around 29 to 30 times earnings, that the research argues is justified by best-in-class return on capital employed and consistent positive free cash flow regardless of the broader interest rate environment. A one-time labor-code-related expense muddled an otherwise record-revenue quarter recently, which I'd treat as exactly the kind of noise Taleb would tell you to look past rather than a genuine signal about the underlying business. The real strategic question going

forward, as the company pushes toward a ten-billion-dollar revenue target, is whether it can maintain margins while scaling what's called its "fresher pyramid" – the ratio of junior to senior staff that drives cost structure in a services business. A high-quality, if not cheap, gateway into the global digital economy.

Tata Consultancy Services – The Fortress

TCS is the anchor of the IT-services cluster in this book, and honestly, of the Tata Group more broadly – the operational and financial vanguard functioning as a global architect of digital infrastructure for the world's largest enterprises. The plain-English description holds up well: a high-end outsourced engineering, consulting, and maintenance firm that lets massive global corporations focus on their core business while TCS handles software development, cybersecurity, cloud migration, and increasingly, artificial intelligence integration.

The numbers here are genuinely fortress-grade – zero debt, return on equity near 52%, cash flow from operations running at roughly 125% of profit after tax, meaning the accounting profit is being fully backed by, and then some, actual cash generation. TCS crossed thirty billion dollars in annual revenue this past year, and under CEO K. Krithivasan, the organization is training its entire workforce of over 600,000 people to be "AI-ready," positioning itself less as a services vendor and more as a platform partner for how large enterprises actually adopt AI at scale. The honest risk is the one facing the whole sector – a slowing global economy and cautious discretionary technology budgets – but a zero-debt balance sheet, high dividend yield, and genuine optionality on the AI buildout give TCS a buffer against that cyclical risk that smaller peers simply don't have.

The cash-generation trajectory is worth seeing in absolute terms rather than just ratios – operating cash flow has grown from roughly 14,751 crore rupees in 2014 to 48,908 crore in the most recent year, with free cash flow around 5.49 billion dollars. That's more than a decade of genuinely compounding cash generation, not a single good year. It's also visible in how the business itself is changing shape – receivable days have crept up as TCS wins larger, more complex "mega-deals" with more staggered payment structures, which is really a sign of the company moving further up the value chain into bigger, stickier enterprise relationships rather than a red flag on collections discipline.

Indus Towers – The Neutral Host

Indus Towers is infrastructure in the most literal sense – a neutral host provider that owns and manages the physical towers,

structural support, and power systems mobile network operators need to actually deliver wireless service, so that Bharti Airtel, Reliance Jio, Vodafone Idea, and state-owned BSNL can lease space on shared towers instead of each building and maintaining their own redundant physical networks. Formed originally as a 2007 joint venture and consolidated in a 2020 merger with Bharti Infratel, Indus now covers all 22 Indian telecom circles, which for an operator wanting to expand coverage quickly is a genuinely faster, cheaper option than building proprietary sites from scratch.

The economics here are non-discretionary in the cleanest sense – data transmission is becoming as fundamental a utility as water or electricity, and demand for physical tower infrastructure doesn't meaningfully fluctuate with the broader economic cycle the way consumer discretionary spending does. The business has genuinely evolved past pure civil-engineering tower management into energy management, digital site monitoring, and 5G-ready infrastructure. The single biggest swing factor for the stock, and I want to be direct about it, is Vodafone Idea's financial health specifically – Vi is one of Indus's largest tenants, and its ability to complete its debt-raising plans and keep paying rent on time is the single clearest catalyst the market is watching. Assuming that resolves reasonably, and with government support for the broader telecom sector plus the ongoing explosion in data traffic, Indus looks well-positioned to keep its dominance as India's primary passive network layer for the next decade.

Adani Power – From Debt-Heavy to Cash-Generating

Adani Power has gone through one of the more dramatic balance-sheet transformations on this entire list – from a debt-heavy utility during what the research calls its "crisis years" to what's now the largest private thermal power producer in India, running as a lean, cash-generating infrastructure business built on integrated logistics and long-term power purchase agreements.

The core function is straightforward – converting coal into baseload electricity sold to state utilities and industrial customers, and "baseload" matters specifically because it's the minimum power a grid needs delivered continuously, which renewables alone still can't fully guarantee. What I find notable on the governance side is Gautam Adani's own compensation structure – his remuneration from the group is meaningfully lower than several of his own executives and industry peers, which the research reads as a "skin in the game" signal, where the promoter is earning primarily through equity appreciation rather than salary, alongside genuinely high ESG disclosure scores under global reporting standards. The strategic bet embedded in this

business is that decarbonization of the Indian grid, while directionally certain, is going to take considerably longer than headlines suggest – the research points to a projected 80-gigawatt baseload shortfall by 2032 that thermal capacity like Adani Power's will need to keep filling for at least the next two to three decades. Investment in ultra-supercritical technology and a strategic partnership on Bhutanese hydropower both suggest management is already positioning for what comes after coal, even while running the current thermal fleet hard.

The growth here has come deliberately through acquisition rather than purely new construction – operational capacity has grown from 12.4 gigawatts to over 18 gigawatts largely by buying distressed or underutilized thermal assets rather than building everything greenfield, which is a faster and often cheaper way to scale in a sector where new plant permitting is genuinely slow. The 5,000-megawatt Bhutanese hydropower partnership is the clearest single data point that this isn't a company betting its entire future on coal indefinitely – it's diversifying its generation mix opportunistically while the core thermal business still has decades of contracted demand ahead of it.

Bharat Electronics – India's Defense Electronics Backbone

Bharat Electronics is a Navratna public-sector defense electronics manufacturer, established in 1954 in Bengaluru, and it's the primary electronics supplier for the Indian armed forces across land, sea, air, and space domains. What's structurally interesting is the organizational design – 29 Strategic Business Units and nine specialized manufacturing units spread across the country, built specifically to handle the complexity of modern, multi-domain defense electronics rather than operating as a single monolithic factory.

The company is deliberately shifting away from the traditional siloed PSU model toward what it calls a "lead integrator" approach – joint ventures like the one with Safran on missile production, and collaboration with Tata Electronics on semiconductor fabrication, signal a genuinely proactive ecosystem-building strategy rather than passively waiting for government orders. Forward targets are ambitious: 15-to-20% revenue CAGR over the next five years, non-defense revenue growing to 15-to-20% of total turnover, and export targets around 300 million dollars, all backed by continued R&D leadership in autonomous systems and cybersecurity. The balance sheet is zero-debt with superior return metrics, and while a genuinely long working-capital cycle and intensifying private-sector competition are real constraints, BEL's entrenched market position makes it a cornerstone of Indian

defense manufacturing and, alongside Hindustan Aeronautics, one of the two clearest ways to own India's defense self-reliance push.

ITC – The Cash Cow Building a Second Engine

ITC is one of the more interesting corporate-transformation stories on this list precisely because it's not trying to escape its history so much as fund a second act with it. Originally established in 1910 as the Imperial Tobacco Company of India, ITC has spent over a century navigating regulatory shifts and changing consumer behavior to become one of India's most diversified conglomerates.

The financial position is about as strong as a large-cap Indian company gets – zero debt, return on equity around 28%, return on capital employed around 36%, sustained consistently for over a decade without any dependence on financial leverage. The cigarette business remains the core profit engine, a genuine "cash cow" facing long-term structural headwinds from regulation and shifting health consciousness, but the real strategic story is what ITC has built with that cash – a genuinely scaled second engine spanning branded packaged foods, personal care, and sustainable packaging that's now reaching critical mass on its own. The "ITC Next" strategy, focused on digital transformation and calibrated bolt-on acquisitions, reads like a company actively engineering its next century rather than coasting on tobacco cash flows. For investors, this remains one of the most reliable dividend-paying, defensively positioned names in the entire Indian market, and a genuine proxy for how deeply ITC's brands are embedded in both rural and urban Indian consumption habits.

Say the brand names out loud and the scale of that second engine becomes obvious even without a single number attached – Aashirvaad in staples, Sunfeast in biscuits, Bingo! and Yippee! in snacks and noodles, Fiama and Savlon in personal care, Classmate in stationery. These aren't niche side-bets; several of these are outright category leaders in their own right, solving the very unglamorous but very real consumer problem of inconsistent quality in commoditized staples like flour and salt. That's the same specialization logic Adam Smith would recognize – take something everyone needs, make the quality reliable enough that a brand premium becomes justified, and let that trust compound across an enormous distribution footprint ITC already had from a century of cigarette distribution.

Bharat Petroleum – The Pump and Beyond

Bharat Petroleum is a Maharatna-status integrated energy company sitting in the downstream half of India's oil and gas industry –

procuring crude, refining it, and distributing the finished products across a genuinely massive retail and industrial network. In the most direct terms: BPCL is the reason fuel is at the pump, LPG cylinders reach kitchens, and industrial lubricants are available when a factory needs them, across 23,642 retail outlets nationwide and 35.3 million tonnes of annual refining capacity spread across Mumbai, Kochi, and Bina.

Demand here is about as non-discretionary as it gets – you can defer a vacation, you can't defer cooking gas. What's genuinely changed over the past decade is the strategic ambition layered on top of that reliable base – "Project Aspire," a five-year roadmap backed by 1.7 lakh crore rupees of investment, is pushing the company well beyond pure fossil-fuel volume growth into green hydrogen production at Bina, advanced biofuels, and a genuinely serious City Gas Distribution push now covering 154 districts. The EV transition gets a real, funded response too – 6,563 charging stations already commissioned against a 7,000-station target, with a longer-term bet that convenience retail at charging stations, where customers linger twenty to thirty minutes while their vehicle charges instead of five minutes at a fuel pump, becomes a genuinely meaningful non-fuel revenue stream over time. Refining margins normalized down from the exceptional, almost accidental profitability of the prior year, but the underlying institutional health – highest gross refining margins among public-sector refiners, a conservative starting debt position – remains solid. I think of BPCL as a company using its legacy fossil-fuel cash generation deliberately, as a funding source for a genuinely future-facing portfolio, rather than as a business in denial about where energy is eventually headed.

Hindustan Aeronautics – The Sovereign Aerospace Custodian

Hindustan Aeronautics is the singular state-owned entity managing the entire lifecycle of India's military aircraft and helicopters – not just manufacturing them, but keeping a fighter jet or transport helicopter flight-worthy from the day it leaves the assembly line until decommissioning decades later. It sits at the bridge between the Defence Research and Development Organisation's high-level aeronautical research and the actual operational requirements of the Indian armed forces, producing everything from the indigenous Tejas Light Combat Aircraft to license-built Sukhoi-30MKIs to the Dornier-228 transport and surveillance aircraft.

What makes HAL a genuinely unusual combination, per the research, is that it's simultaneously a monopolistic, defensive utility – through its repair-and-overhaul segment, which generates steady, recurring revenue regardless of new-order cycles – and a

high-growth, aggressive technology player through its indigenous design programs. Financially, it's about as strong as sovereign-backed defense manufacturing gets – zero debt, substantial cash reserves, and top-tier return ratios that put it among the strongest balance sheets in the global defense industry, not just the Indian one. For anyone wanting direct exposure to India's defense self-reliance push specifically, alongside Bharat Electronics, HAL is the primary vehicle – a genuinely sovereign-backed growth story with deep technological moats and visibility that stretches out multiple decades rather than multiple quarters.

The order-book math here is genuinely striking – against annual revenue of roughly 30,105 crore rupees in the most recent fiscal year, HAL is sitting on a current order book of about 1.89 lakh crore, nearly six times annual revenue, which gives about as much multi-year revenue visibility as an industrial business can realistically offer. That visibility is backed by real R&D commitment rather than just order intake – HAL spent around 2,482 crore rupees on research and development, and the broader Indian defense opportunity set the company sits inside is estimated at something like 6.81 lakh crore, or roughly 78.7 billion dollars, the highest it's ever been. A company with six years of revenue already contracted and a growing addressable market underneath that backlog is about as close to genuine multi-decade visibility as this entire twenty-name list gets.

Dr. Reddy's Laboratories – From Generic Challenger to Diversified Leader

Dr. Reddy's operates across the entire pharmaceutical value chain, from synthesizing the underlying chemical precursors to delivering finished, complex dosage forms, solving fundamentally the same problem Cipla does – making life-saving treatment accessible by providing bioequivalent alternatives to expensive innovator drugs. What's genuinely notable this year is the company's transition from what the research calls a high-growth "generic challenger" into a more mature "diversified healthcare leader."

A meaningful part of the recent margin expansion is tied to the gRevlimid opportunity – a limited-duration authorized-generic window that's been a genuine profit tailwind – and the more interesting story is what management is doing with that windfall rather than the windfall itself: using it to fund a durable, structural push into consumer health and biologics rather than just returning it to shareholders and calling it a good year. The balance sheet is a genuine net cash surplus with return on capital employed around 23%, giving Dr. Reddy's real "war chest"

flexibility heading into the next phase of the pharmaceutical cycle. The core US generics business still faces the inevitable, structural price erosion every generics business eventually faces, but the company's cost advantage and dominant position within India's broader "Pharmacy of the World" role provide real stability underneath that pressure. Whether the newer digital therapeutics and cell therapy investments – what the company calls its "Horizon 2" strategy – actually pay off is a genuine multi-year test, but the financial foundation funding that test is about as solid as it gets.

Infosys – The Digital Core Architect

Infosys closes out this list, and after four decades of shaping the Indian IT services industry, it's currently navigating the same generative-AI-driven transformation as its peers TCS and LTIMindtree, but from its own distinct competitive position – a multinational corporation that's redefined the parameters of the sector rather than simply participating in it.

The company's forward strategy centers on its "Infosys Topaz" platform, designed specifically to help enterprise clients move from experimenting with AI in isolated pilot projects to running full-scale, AI-driven operations – and the stated strategic pillars for the back half of this decade are worth naming because they're genuinely specific rather than vague aspiration: decoupling revenue growth from headcount growth through automation, accelerating growth in Europe, which already represents around 30% of revenue, deepening the more than 83 client relationships that already each generate over 50 million dollars in annual revenue, and maintaining carbon neutrality with an aim toward "climate positive" status by 2030. Financially, it's debt-free with high recurring revenue and superior capital efficiency, facing the same macro headwinds as the rest of the sector – interest rate sensitivity and cautious US corporate technology spending – but well-positioned by balance sheet strength to absorb those headwinds better than smaller, more leveraged competitors. As the whole IT-services cluster in this book – Infosys, TCS, and LTIMindtree together – makes the transition to an AI-powered future, Infosys specifically looks positioned to remain one of the core architects of that transition rather than a company reacting to it from the outside.

The revenue stability underneath that strategic ambition is genuinely worth naming plainly – roughly 95% of Infosys's revenue comes from existing clients rather than new-logo wins, which tells you the growth story is fundamentally about deepening relationships rather than a constant, expensive hunt for fresh customers. That matters more against the backdrop of a global IT

services market currently valued somewhere between 1.43 and 1.65 trillion dollars, with credible projections putting it near 3.3 trillion dollars by 2033. Infosys doesn't need to win a dramatically larger share of that market to keep compounding – it mostly needs to keep the 95% retention intact while the underlying market itself roughly doubles.

How the Twenty Connect Back to the Four

Let me close the loop between the country work at the front of this document and the twenty companies I just walked you through, because I don't want the two halves of this letter to feel like separate documents stapled together.

Every one of these twenty businesses is a bet on some specific piece of the India Ascent thesis actually playing out. The fiscal consolidation and rising capital expenditure I described in the India section shows up directly in Cummins, ABB, Bharat Electronics, and Hindustan Aeronautics – businesses that either supply the infrastructure buildout directly or depend on a state with the fiscal room to keep funding defense and industrial modernization. The financialization-of-savings story shows up in HDFC AMC, BSE, and LIC. The formalization and premiumization of consumption shows up in Varun Beverages, ITC, Hyundai, and Tata Motors Passenger Vehicles. The "Pharmacy of the World" identity shows up in Cipla and Dr. Reddy's. And the global-services, AI-transition story shows up in TCS, LTIMindtree, and Infosys together. Nothing on this list is disconnected from the macro thesis – it's all downstream of it, which is exactly how the Sovereign Bet framework is supposed to work.

The three other countries exist in this document for a different reason – not because I'm about to redeploy Indian capital into Turkish, Indonesian, or Saudi equities, but because each one sharpens a specific piece of judgment I need for the Indian names above. Watching Türkiye's reform cycle in real time makes me more alert to early warning signs if Indian institutional quality ever started backsliding the way Turkish institutions did after 2013. Watching Indonesia's resource-nationalism experiment makes me think harder about whether India's own PLI-driven manufacturing push has the same productivity risks Indonesia is currently running into. And watching Saudi Arabia's fully-funded, patiently sequenced Vision 2030 transformation gives me an unusually clean benchmark for what genuinely well-executed state-directed reform looks like, against which I can measure India's own version of top-down industrial policy. None of that comparative work would be possible if I only ever studied the country I actually invest in.

What This Document Isn't

A quick, honest word before I close, in the same spirit as I've tried to keep throughout this dialogue series.

Twenty companies is a research universe, not a recommendation to buy twenty companies. Some of these names I hold, some I've held and sold, some I've never owned at all and may never own – this document is intentionally agnostic about which is which, because the point of the Annual Data is to show you the depth of the research process itself, not to function as a stock tip sheet. If you take one thing from this and go buy it tomorrow morning without doing your own work, you've missed the entire point of everything I've said across every one of these dialogues about process mattering more than any single conclusion.

I also want to be honest that "great detail" doesn't mean "certainty." Every one of these twenty write-ups represents my best synthesis of the numbers and the narrative as they stood at the time I did the work, filtered through the same library of ideas – Taleb's humility about randomness, Damodaran's insistence that a story needs numbers to back it, Sharma's reform-cycle lens – that runs through everything else I publish. Some of these theses will age well. Some won't. Coal India's long-term decline risk is real even if the timeline is long. Türkiye's reform push could stall again the way it has before. LIC's re-rating could take considerably longer than the "eventually" I've implied. I'd rather tell you that plainly now than have you discover it as a surprise in some future letter.

Closing Thoughts

So that's the 2026 Annual Data – twenty Indian businesses in real depth, and four countries' worth of the soil-level thinking that sits underneath all of them.

If there's a single thread connecting this to every quarterly dialogue I've given you and every one I'll give you going forward, it's the same thread it's always been: choose the soil carefully, choose the organism even more carefully, size your conviction honestly, and hold what you own for long enough that the process actually gets to prove itself. Twenty names is wider than the concentrated quarterly book you may know me for, and that's intentional – this is the annual, wide-lens research base the sharper quarterly conviction eventually gets carved out of, not a contradiction of it.

Thank you for sitting through the full depth of this one. I know an annual review asking for this much of your time is a real request, and I don't take it lightly that you gave it. I'll see you at the next quarterly dialogue, and I'll see you back here, same time next year, with twenty more names' worth of homework done.

Take care of yourselves.